Buying in Mexico

A PROPERTY BUYER'S GUIDE



B&D Realty *guides international buyers through one of the most rewarding, and most misunderstood, property markets in the world.*

Mexico offers year-round sunshine, extraordinary coastline and a rhythm of life that is hard to find anywhere else. Yet buying here is not the same as buying at home: the legal framework, the tax structure and the true cost of ownership are all different.

This guide offers a clear, honest picture, so you can make the best decision for your life and your investment.

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"I was a buyer before I was an advisor."

I didn't start in real estate. I started as a buyer.

Originally from the UK and France, I arrived in Mexico more than a decade ago with a lot of optimism and very little idea of how buying property here actually worked. I learned it the hard way: the fideicomiso, the notaries, the taxes, and the surprises nobody warns you about.

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Mexico is home.

It's where I'm raising my two kids, in a house shared with a cat and a Rottweiler who, between them, are firmly in charge. It's where our mornings start slowly and our weekends end at the water. It's the life I came here looking for, and I have never looked back.

So I know what's at stake when you buy here. This is rarely just a transaction. It's the place your family will wake up, where friends will come to visit, where life finally slows down. I treat every search as if it were my own.

I made the mistakes so you don't have to.

Over the years I've built a network I trust completely: attorneys, notaries, accountants, lenders, inspectors and property managers. They are the same people I rely on for my own family, and now for every client.

B&D Realty exists to give you the service I wish someone had given me: honest advice, a clear process from A to Z, and someone on your side from the first conversation to the keys in your hand. And long after.

Ben

BENJAMIN BRASHER · CO-FOUNDER, B&D REALTY

LEGAL FRAMEWORK & THE FIDEICOMISO

CHAPTER ONE

Can a foreigner own property in Mexico? Yes, though along the coast and near the borders, ownership takes a particular, well-established form.

The Restricted Zone

Under the Mexican Constitution, foreign nationals may not hold direct title to land within 50 km of any coastline or 100 km of any international border. Ownership in these zones is structured through one of two mechanisms:

- **Fideicomiso (bank trust):** the customary route for residential buyers.
- **Mexican corporation (S.A. de C.V.):** typically used for commercial or income-producing property.

What Is a Fideicomiso?

A fideicomiso is a trust administered by a Mexican bank on your behalf. You are the beneficiary, with full rights to use, rent, sell, remodel and bequeath the property. The bank holds formal title only because the law requires it. It has no claim over your home.

> *Think of the fideicomiso as a legal wrapper, much like an LLC holding real estate at home. You remain in complete control.*

SET-UP	ANNUAL FEE
$1.5 to 2.5K	$500 to 700
USD, one time	USD per year

TERM	INHERITANCE
50 Years	Heritable
Renewable	Named beneficiaries

A NOTE

Always ask whether the seller's existing fideicomiso can be assigned to you. It is usually faster and less expensive than creating a new one.

DUE DILIGENCE

CHAPTER TWO

Mexico's property records have improved considerably in recent years, but thorough due diligence remains essential. This step is never optional.

THE B&D DIFFERENCE

You don't have to do any of this alone. *Our legal partners, independent attorneys and notaries we have worked with for years, carry out every one of the checks below on your behalf, and report back to you in plain English. You buy with confidence; they do the paperwork.*

Title Search

A Mexican notario público or real estate attorney should search the Public Registry of Property to confirm clean title, no liens, matching boundaries, and no outstanding property tax or HOA debt.

What to Request

- **Certificado de Libertad de Gravamen:** official certificate confirming the property is free of liens.
- **Predial and water receipts:** paid and current, in the seller's name.
- **HOA no-debt letter:** confirming there are no unpaid fees or special assessments.
- **Permits and land use:** construction licence, land-use designation and, for condos, the condominium regime.

The Notario Público

In Mexico the notario is a state-appointed senior lawyer, not simply a witness. The notary verifies all documents, calculates and withholds taxes, and registers the transfer of title.

IMPORTANT

Never close a real estate transaction in Mexico without a licensed notario público. A purchase that bypasses the notary is legally unenforceable and potentially fraudulent.

THE BUYING PROCESS & CLOSING COSTS

CHAPTER THREE



01

Offer & Negotiation

Usually informal, sometimes with a letter of intent. Price, timeline and inclusions are agreed in principle.

02

Due Diligence Period

Title search, home inspection and trust verification. Anything found here becomes negotiating leverage.

03

Promissory Contract

A binding Contrato de Promesa de Compraventa, typically signed with a 10 to 30% deposit to secure the property.

04

Closing: the Escritura

The final deed is signed before the notary, the balance is transferred and the keys are handed over. Title is registered in your trust.

Closing Costs

Budget **6 to 8%** of the purchase price for closing costs, separate from your down payment. They typically include:

- **Acquisition tax (ISAI)**
- **Notary fees**
- **Fideicomiso set-up**
- **Appraisal, permits and registry**
- **Home inspection**

MORTGAGES & FINANCING

CHAPTER FOUR

Financing a Mexican property as a foreign buyer is possible, but more limited than at home. The smartest capital is often the equity you already hold.

Mexican Bank Mortgages

- **Interest rates:** historically around 9 to 12% a year, in Mexican pesos.
- **Down payment:** most banks require 30 to 40% from foreign applicants.
- **Documentation:** income verification, credit history, valid visa or residency, and an RFC (Mexican tax ID).

Developer Financing

Many developers offer in-house, USD-denominated payment plans for pre-construction, typically 30 to 50% down, with the balance paid in instalments through construction. Read every term carefully.

Seller Financing on Resales

Rare, but worth knowing. In a buyer's market like today's, it never hurts to ask a seller whether they would finance a portion of the price. For example, a substantial down payment with the balance paid over an agreed term, secured through the notary.

The key is a **structured, solid offer**: a clear schedule, interest terms and guarantees, drafted by your attorney. Presented well, it can unlock a deal, and better terms, that a bank never would.

HELOC in the USA & Canada

For North American owners, one of the most efficient routes is a Home Equity Line of Credit (HELOC) secured against a primary residence in the United States or Canada. You borrow against equity you already own, in your home currency, and purchase in Mexico as a cash buyer. Terms and tax treatment differ between the U.S. and Canada, so speak with your lender and tax advisor first.

- **Lower cost:** HELOC rates are tied to prime and usually sit well below peso mortgage rates.
- **Cash-buyer leverage:** stronger negotiating position and a faster, simpler closing.
- **Flexibility:** draw only what you need, in USD or CAD, with no peso loan exposure.
- **Canadian buyers:** HELOCs from the major banks (RBC, TD, Scotiabank, BMO, CIBC) are widely used for exactly this purpose.

PROPERTY TAXES

CHAPTER FIVE

One of the most pleasant surprises for foreign buyers: annual property tax in Mexico is remarkably low compared with the United States, Canada or Europe.

MEXICO · ANNUAL PREDIAL

$700 to 1,300

USD · on a $1M USD home

FLORIDA / TEXAS · ANNUAL

$12K to 25K+

USD · on a $1M USD home

Capital Gains Tax (ISR)

When you sell, Mexico levies income tax on the transaction. Non-resident sellers generally choose between 25% of the gross sale price, or 35% of the net gain when a Mexican legal representative is appointed, which is usually far lower. Mexican tax residents may qualify for a primary-residence exemption.

Keep every official invoice (*factura*) for improvements: they increase your cost basis and reduce the taxable gain.

Other Annual Ownership Costs

Beyond predial, budget for the running costs of ownership:

- **Fideicomiso annual fee**
- **HOA fees**
- **Electricity (CFE):** air conditioning is the big one.
- **Water, gas and internet**
- **Home insurance:** hurricane coverage in coastal areas.
- **Property management:** if you are not in residence full time.

TIP

*Pay your predial early in the year, in January or February, and many municipalities reward you with a discount of **30 to 50%**.*

ADVICE

Consult a Mexican accountant (contador) before buying and again before selling. Proper structuring makes a substantial financial difference.

HOA FEES & MAINTENANCE

CHAPTER SIX

HOA FEES & MAINTENANCE

Most condominiums and gated communities are governed by a homeowners' association covering shared infrastructure, security, pools and landscaping.



Fees are generally calculated by the square metre of your property, on average **USD $1.50 to $3 per m² per month**, depending on the development and its amenities. As a guide:

ENTRY-LEVEL	MID-RANGE	LUXURY
$100 to 300	*$300 to 600*	*$600 to 1,500+*
USD per month	USD per month	USD per month

What to Ask For

- **The rules and regulations:** especially on short-term rentals, pets, renovations and noise.
- **The reserve fund:** its current balance, and what it is set aside for.

An underfunded association is a red flag, especially in a tropical climate, where maintenance runs high all year.

COST OF LIVING

THE HONEST PICTURE

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How you choose to live here will determine what you actually spend.

Mexico's resort markets, such as the Riviera Maya, Los Cabos and Puerto Vallarta, are not the least expensive places to live in the country. Yet whether you shop at the mercado or at Costco, eat at a neighbourhood comedor or a beachfront restaurant, your money goes further here than in almost any comparable place in North America or Europe.

A couple living thoughtfully can live beautifully on $2,000 to $3,500 USD a month. Those who keep their full North American lifestyle typically spend less than they did at home, while doing far more.

LIVING LOCAL

A fraction of what you spend at home.

- Mercado produce for two: $10 to 20 USD a week.
- Comida corrida: $3 to 5 USD per person.
- Generic medications, often 80 to 90% less than U.S. prices.
- Colectivos: around $1 per ride.
- Neighbourhood gyms and yoga at local rates.

LIVING LIKE HOME

The familiar life, only more of it.

- Costco, Walmart and Chedraui stock the brands you know.
- Restaurants: $25 to 60 USD per person.
- Spa days, cenotes and boat trips become ordinary.
- Private clinics with English-speaking doctors.
- International schools: $8,000 to 20,000 USD a year.

Whichever path you choose, the math is generous: more, for less.

PRACTICAL TIPS FOR SUCCESS

CHAPTER EIGHT

PRACTICAL TIPS

The buyers who fare best in Mexico are the most patient, the most documented and the most properly advised.

01 **Retain your own attorney**
Independent from the seller's and the developer's.

02 **Commission a home inspection**
Before closing, not after.

03 **Obtain your RFC early**
Your Mexican tax ID, needed for ownership, banking and tax filings.

04 **Verify the utilities**
Water, electricity and internet should be connected, current and in the seller's name.

05 **Research the developer**
For pre-construction, check delivery history. Delays of 12 to 24 months are not unusual.

06 **Understand your visa**
Owning property does not grant residency. Explore Residente Temporal or Permanente.

07 **Open a Mexican bank account**
It simplifies utilities, taxes, HOA payments and rental income.

08 **Get the timeline in writing**
Before you sign any promissory contract.

Speed is rarely the friend of a sound acquisition in Mexico.

THE VALUE OF A HOME INSPECTION

CHAPTER NINE

Professional home inspections are not yet standard practice in Mexico. Many buyers skip this step and later regret it.

A Qualified Inspector Evaluates

- **Structure:** foundations, walls, columns and slabs.
- **Roof and waterproofing:** critical in a tropical climate.
- **Electrical:** panel, wiring, grounding and safety.
- **Plumbing:** pressure, drainage, water heater and cistern.
- **Moisture and mould:** hidden infiltration behind finishes and in walls.
- **Air conditioning:** age, service history and efficiency.
- **Pool and shared equipment:** where applicable.

When to Inspect

Book the inspection during the due diligence period, before your deposit becomes non-refundable. For pre-construction, insist on a delivery inspection before accepting the keys: a written punch list the developer must complete.

> *Heat, humidity and salt air accelerate wear faster than buyers from temperate climates expect.*

WHY IT PAYS

A thorough inspection gives you documented leverage to negotiate the price, or to require repairs before closing.



Buying in Mexico is not complicated.

It is simply different.

I am here to guide you through every step of the journey.

Benjamin Brasher

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